

November 2009

T L DIRECT

The Line Direct

The Spirit of Innovation

In the last few months you may have heard this word “Innovation” more frequently than in the past. It is becoming a word that is more and more associated with what we are doing on a daily basis and through those efforts it is also becoming a word that our customers are more and more associating with TLD, SAGE and ALVEST. Innovation is the thing that keeps a company competitive, brings value to our customers and therefore keeps our company alive. It is not unusual that a manufacturing company turn its resources toward the creation of new products or revolutionize its existing products during tough financial times as we are experiencing today.

Certainly anyone familiar with the original product brands that became TLD and SAGE, would recognize the innovative nature of those companies. Each one was a pioneer and brought new products and new ideas to the GSE market. Even the very idea of a “TLD”, the creation of one company that offered a wide range of GSE products but operated with common goals, values, quality of product and quality of support, was in itself an innovation in the GSE Market that has created unquestionable value. Likewise the evolution of Sage and its unique modes of servicing the parts needs of the GSE industry can not be called anything less than innovative as evidenced by their market leadership. We clearly have had a **history** of innovation.

But a company can not live forever on its past innovations. And a troubled market begs for innovation unlike any other. We need innovation today more than ever. However innovation can not be done overnight, can not wait until only when our other work is slow.

Innovation can not be turned on and off like a light switch. Innovation must be nurtured, fostered and the small glowing embers of innovation must be continually fanned in order to keep them alive. Innovation as a process can and must be **managed**. Part of that management involves promoting our “Spirit of Innovation”. This Spirit is the common understanding that we **must** innovate to survive and that the majority of us can not sit on the sidelines and leave the “innovating” to a few others in our company.

The 23 person TLD Executive Committee has been studying this problem of how to create this Spirit and how to manage the process of innovation and have put some of their ideas into action. You may have noticed recently that an annual **Innovator of the Year Award** was created. This is of course necessary in order for us to celebrate the achievement of innovation and spread the idea of its importance (an essential part of extending the “Spirit”). Soon you will see a web-based module for the collection of innovation ideas for the purpose of evaluating and prioritizing them, certainly a required step in the management of Innovation.

The hope of the Executive Committee is that the entire company will participate in innovation by bringing bring ideas from the field, from our customers and from other industries that will solve our customer’s problems of today and bring them value.

I am sure you will notice in other articles in this edition of TLD-Direct, several new and innovative products that our team mates are developing which point to a growing “Spirit of Innovation” at ALVEST.

Mark GARLASCO

The Latest Dispatch

In the year 2009 when the global economic crisis has severely impacted the GSE market, TLD has confirmed it's participation in the Inter Airport Europe Show in Munich from the 6th to the 9th of October. We are participating in the show while maintaining a close watch over all show related costs.

Measures of cost reduction were taken by choosing wisely the surface of the display booth as well as shortening the length of stay of some TLD personnel.

With the economic downturn affecting our customers and the relocation of the show venue to the MUNICH TRADE FAIR CENTER we feared a reduced attendance by participants. In addition the uncertainties brought on by the evolution of the H1N1 virus could have had a negative effect on the success of the show.

For this show TLD has taken a distinct direction to focus our display on an environmentally friendly GSE and reduced emission equipment and selecting from our fleet of such product to display the JET-16, the TXL-737-E and the ACU-902.

The first great surprise was at the traditional TLD dinner on Tuesday which was very well attended by over 200 of our customers. This evening was a perfectly orchestrated event thanks to the efforts of Christoph Portele and the participation of the entire TLD team to make this evening successful and most importantly and admittedly memorable evening for our customer. This was a very successful evening.

Under the leadership of Christoph Portele the TLD booth was organized in such a way that all visitors were able to appreciate the welcoming and inviting lay out of the set up while maintaining the right amount of space to allow for more private business discussions in the modular conference rooms. The mild weather encountered was perfectly suited to the open air nature of our booth structure creating an inviting stop for the large number of our customers that have visited us repeatedly.



The Latest Dispatch

By any standard this would have been described as a very successful booth but in light of the limited budget it was truly exceptional.

We were very pleased by the choices of equipment displayed as we have maintained a steady flow of very interested customers that have taken their time to learn and understand more about what TLD is doing in the field and the technologies being used particularly in the case of the ACU-902 air conditioner for hangar and gate use.



Among the most notable events was the visit of Mr. Akbar Al Baker, President of Qatar Airways, who personally accepted the invitation extended to him by Jean-Marie Fulconis to join us. This visit is a testimony to the interest that Qatar Airways has in TLD, as well as demonstrate the total commitment at all organizational level that TLD has to providing Qatar Airways the product and support to insure a successful relationship.

Lastly and to add to the overall success of this show for TLD and a perfectly orchestrated ceremony on Wednesday 7th October TLD and IAI (Israel Aerospace Industry) signed an exclusive agreement to partner up in the development and production of the TAXIBOT tractor. (see article regarding TaxiBot in the TLD Direct).

Regardless of the economic uncertainties the Inter Airport Europe show has proved to be a great success for TLD and we are hopeful that this positive momentum will carry forth.

Jacques ROUX

TLD Life Digest

TLD Joins the TaxiBot Program

TaxiBot is a dispatch tow tractor concept developed and patented by IAI.

The dispatch towing (or operational Towing) process consists of moving aircraft from the gate to the runway with towing tractors instead of taxiing by using the jet engines of the aircraft.

TLD Green 

The implementation of this technology offers yearly potential savings for the aviation industry of 7 billion USD and would reduce CO₂ emissions by approximately 18 millions tons. This program perfectly fits within the TLD innovation strategy focused on developing equipment for more environmental friendly airport operations.

TAXIBOT 

For several years already, TLD had made initial investigation steps on his side on the dispatch tow tractor development. However, the constraints imposed by such operation on the Nose Landing Gear of this A/C as well as the reaction of the pilots were key blocking parameters for this development.

In the meantime, TLD realized that IAI, which was not a tractor manufacturer, had developed some exceptional ideas to overcome these two key points. First formal contacts between TLD and IAI were established in the first quarter of 2009 and a rapid common interest was developed by both parties to work together on this program.

In Munich, on October 7th, 2009, TLD and IAI (Israel Aerospace Industries) sealed their exclusive partnership for the development and manufacturing of the **TaxiBot** Tractors by signing their formal agreement.



Three of the major innovations that TaxiBot offers are :

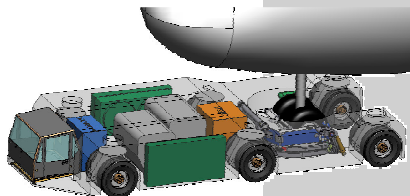
- ✓ The Pilot (captain) will remain in Command (PIC) at all times along the taxiing process, by means of a user friendly Pilot – TaxiBot interface (transparent to the pilot)
- ✓ The stress on the Nose Landing Gear (NLG) will be dramatically reduced by the Pilot braking by the Main Landing Gear system (as opposed to tractor braking) and the tractor applying a unidirectional stress on the NLG thus reducing considerably the NLG fatigue
- ✓ The TaxiBot tractor will be certified through STC (Supplement Type Certificate) as though the tractor were a component of the aircraft

TLD Life Digest



AIRBUS has also recently joined the TaxiBot program as an active partner as well as Lufthansa LEOS that has been a long time supporter of the project.

The TaxiBot program is managed by the TLD MTL factory and is run by Nicolas VERMALLE with an engineering team fully dedicated to this program.



The TaxiBot demonstrator (not manufactured by TLD) is currently doing tests with a fully computerized trailer in the UK. The first operational tests on real aircraft with the demonstrator is planned for February 2010 in Toulouse at the AIRBUS factory and IAI & TLD expect to have a TaxiBot prototype ready by the end of 2010.

Antoine MAGUIN

The last development of TLD Montlouis

Introducing the new TMX-250 conventional tractor.

In order to broaden its aircraft conventional tractor range and to offer its customers push back solutions from regional to wide body aircraft, TLD introduces the TMX-250. This tractor joins the TLD conventional tractor family that consists of the TMX-150, TMX-400 and TMX-450, ranging from 6 to 32 ton drawbar pull.

With its 3 ballasted versions, 18, 21, and 24 tons and with its environmental friendly 120 kW Cummins Tier 3 engine, the TMX-250 is capable of performing heavy push backs on up to 280 ton aircraft, including the new upcoming B787 and A350.

The Total Cost of Ownership of this unit is one of the lowest in this category and the commonality of components with the TMX-150 allows TLD to offer exceptional support in term of spare parts availability.



Its operating performance in conjunction with its very competitive pricing clearly makes the TMX-250 the best value in its category. TLD has recently been awarded a large military contract for hundreds of this heavy duty machine further validating its competitive appeal.

Philippe TESSIER

The Last Development of TLD Canada

TLD Canada: Focusing on INNOVATION

We are investing our energy in some key projects; this will allow us future growth and keep us on the right path for the future.

- ✓ Close collaboration with the TLD-Wuxi team in achieving manufacturing of the first loader 838-COM in China, part of the MASTER 838 program.
- ✓ The MASTER TPX-100E program, piloted by TLD Montlouis allowed us to deliver to Air Alaska our first unit for demonstration.
- ✓ Production and delivery to Air France of the first ALI (Aero Loader Interface), designed to support the logistics around bulky cargo (Engine, etc.).

The main innovation projects are:



838-E and 929-E (Electric loaders) in development using energy regeneration. Technology was demonstrated successfully to UPS and FedEx technical teams.

TMX-150-35 LLTT, Tracteur US Navy: 5 units for extensive test program, the future production of up to 200 units is planned.

A new test track was added to our outside facility. A dynamometer is now in place to support the testing program.



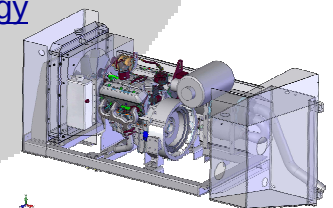
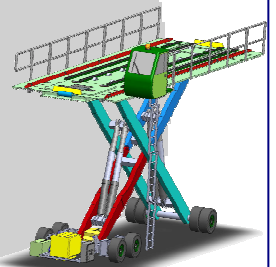
LSP/WSP improvements

Our sales and service team inputs were transformed in many new improvements
Launch PFA-50 loader (Military and commercial)

50,000lbs (22,700kg) capacity,
Self embarking loader,
April 2010 : 1st production unit.

929/121 will become Can Bus technology in 2010

In service loaders, re-engining older generation diesel engine with Carb efficient gas engine that meets actual environmental requirements (UPS)



TLD Canada team is optimistically looking forward the future while keeping a high innovation spirit.

Alain BEAULIEU

TLD people

TLD opens a new office in Budapest, Hungary Jó napot kívánok! ("Good afternoon" in Hungarian)

On 1st May 2009, a new office was opened in Budapest, Hungary in order to be closer to our customers located in the Central & Eastern European region. It helps us to capitalize on the sales volume increase already recorded in this area since 2006.

This region, on which TLD has not been active enough in the past, now stands on the priority list of our Group. Despite the current economic slowdown, this a dynamic area with a substantial number of small and medium size airports that have been expanding with double digit figures in the last 5 years.

It is interesting to notice that, according to the latest ACI annual traffic statistics, there is no airport yet in the region that belongs to the top 100 world airports. As the traffic mostly involves narrow body aircraft, this market does not yet request very large GSE such as our TPX-500 or ACU-808.

The customers are typically airports (usually state or local council owned) and traditional airlines (CSA Czech Airlines, Malev Hungarian Airlines, LOT Polish Airlines,...) Some airports are already in private hands (such as Tirana Airport and Budapest Airport acquired recently by the German Group Hochtief) and some others are in the process of privatization (Riga International Airport in Latvia, Skopje International Airport in Macedonia,...)

even if these tenders might be postponed due the current economic slowdown. The presence of ground handling companies in the area is still limited, but some major handling companies have recently entered the market, like Swissport in Sofia, Menzies in Prague or Celebi in Budapest.

In the last 3 years several new customers were signed in and a significant number of new equipments introductions were made. Among the new customers acquired, we can mention Prague Airport in Czech Republic, Zagreb Airport in Croatia. Timisoara Airport, Sibiu Airport, Constanta Airport in Romania, Sprintair Cargo and Zielona Gora Airport in Poland.

Some of the 2009 breakthrough for TLD include the first sale of a TLD towbarless tractor in Czech Republic and the first direct sale of a TLD equipment in Croatia in Zagreb.



TLD people

Competition is fierce with our German competitors who have been active in the region for a long time.

TLD brand awareness and recognition has been growing fast in the last 5 years even if there are still a few remaining airports where the TLD name is unknown. TLD is now the only GSE company with an office fully dedicated to the Central & Eastern European region. With such a strategic move our market share can only keep growing in the near future!

Viszontlátásra! ("Goodbye")
Ludovic GIGNEROT

The Latest Dashboard

T L Dash board (in M€uros)

(Year to date-end of OCTOBER figures)

TLD Sales	2009-10		2009/2008 % Evolution
	in M€uros	in % of total	
GSE - AREA AMERICA (Americas, Australia, Japan, N. Zealand)	25,9	23,8%	<48,0>%
GSE - AREA EUROPE (Europe, Africa, middle east, India, Pakistan)	59,0	54,2%	<16,7>%
GSE - AREA ASIA	12,9	11,9%	<42,6>%
Other activities (Adhésives solutions)	11,0	10,1%	<10,5>%
TOTAL TLD SALES	108,8	100%	<30,5>%

